



H K RAJASHEKAR

DELHI | Cleaning It Up

With everyone queuing up for sops it was only natural that political parties got some too. Budget 2009 proposes that donations to electoral trusts—a forum or even a front used to donate money to parties—will be exempt from tax. Simply put, 100 per cent or every rupee donated to an electoral trust will be allowed to be deducted from taxable income. It is a small step towards cleaning up electoral funding, which many believe is where political corruption actually starts. In fact, in 2003 the Representation of the People Act was amended and the changes were aimed at bringing transparency and accountability into the political system and the funding of political parties. An RTI filed by INDIA TODAY reveals that political parties have been collecting most of their funding through undisclosed sources. Now anyone can donate money to political trusts and claim deduction under Section 80-G of the Income Tax Act. Political parties will have to register such trusts and donations to them will be deducted from their total income. While the Congress and the BJP welcome the proposals, the BSP and the Left have criticised the step. Though it is difficult to see if the flow of unaccounted money will cease altogether from political funding, parties will now have a large—and public—list of donors of all scales and persuasions.

by Shyam Lal Yadav

**DONATIONS
TO POLITICAL
PARTIES CAN
NOW BE TAX-
FREE—BUT
TRANSPARENT**

400

crore rupees
were raised
via donations
by 16 political
parties in
2006-07.
Out of this,
sources for
only Rs 16
crore were
disclosed.